

MARKETS

Repeat Rally

The BJP's victory in state elections is a perfect trigger for a rally, say market participants

BY ASHISH RUKHAIYAR

PHOTO BY CHANDRADEEP KUMAR



28 | **IN THE RECENT PAST**, many market experts have hinted that political risk is one of the biggest risks facing the Indian stock market. Even legendary investment guru Mark Mobius agreed, though he believes the probability of the BJP not winning the 2024 Lok Sabha elections is “very low”.

The results of the elections in the states of Rajasthan, Madhya Pradesh, Chhattisgarh, and Telangana announced on December 3 seem to have dispelled any lingering doubts. The BJP won decisive mandates in Rajasthan, Madhya Pradesh, and Chhattisgarh. The Congress won a comfortable majority in Telangana.

Most market participants now say the BJP's spectacular performance has set the stage for a pre-election rally. “These

SEEKING STABILITY Analysts say markets have rallied in the six months ahead of the last five general elections

results, branded as a semi-final to the forthcoming May Lok Sabha elections, will provide comfort to the markets as far as political stability is concerned,” stated a report by domestic broking firm Motilal Oswal Financial Services.

Incidentally, December 4, the first trading session after the election results, saw the benchmark S&P BSE Sensex gain nearly 1,384 points or 2 per cent, with the Nifty also rising 419 points.

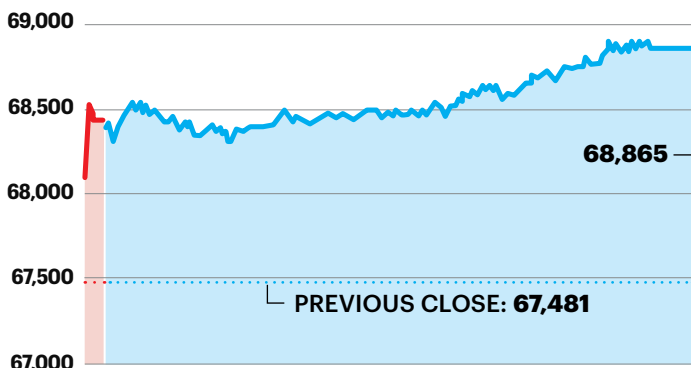
“If the state elections can be treated as a semi-final, then the indications are that the final will be an outright victory for the BJP,” says V.K. Vijayakumar, Chief Investment Strategist at Geojit Financial Services. “During the last five general elections, markets rallied in the run-up to the elections. The rally normally starts around six months before the elections,” adds Vijayakumar.

In a similar context, Jayesh Bhanushali, Lead-Research, IIFL Securities, says the Indian benchmarks could outperform all other major indices in the coming year. “Projecting a Nifty EPS CAGR of 12 per cent for FY24-26, we anticipate Nifty to outperform other major indices in the coming year,” he adds. **BT**

POLL PUSH

► The BSE Sensex rose 1,384 points on December 4

► Some analysts say the Indian indices could be the biggest gainers next year



SENSEX MOVEMENT ON DECEMBER 4 **SOURCE** BSE

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